the formal analysis of evidence, yields a better understanding of the world and the design of better public policy.

Our ability to undertake rational analysis of interventions and conduct post-mortems of policy initiatives is bounded by our availability of information. *What you measure is what you can manage.* We will be able to rationally reform the criminal justice system only when fine-grained data about the criminal justice system can be interrogated. This involves comprehensive measurement of crime, courts, police, prosecutors, and prisons.

A particularly disappointing feature of the Indian statistical environment is that in addition to having limited data, some of our standard public data sources are also flawed. Expressions like gross domestic product (GDP) have institutional legitimacy in the international discourse, but in India we have to be cautious about errors in measurement. Economists in India are doctors without stethoscopes; we suffer the unique agony of trying to do macroeconomics without a well-measured GDP.

Example 1: Education and air quality

A standard recipe in public policy is to demarcate between inputs, outputs and outcomes. To use education as an example, the inputs are school buildings and teachers. The outputs are students enrolled that go through the motions of being taught. The outcome is the knowledge that students achieve. We have to worry about inputs not yielding outputs (e.g., the teachers do not show up to work) and outputs not yielding outcomes (e.g., the students do not learn much).

Assessing the situation, and undertaking management changes, requires a vast statistical system. Without high-quality fine-grained data, management is impossible. Hard-won public resources are being spent in the pious belief that education is important, but the value for money is abysmal.

Consider the problem of air quality. The policy process on air quality involves pursuing a series of questions. *How bad is air pollution in India?*